Barclays Bank of Kenya Limited Financial Statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 31 March 2018

	Bank			Group		
	March 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	March 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited
I Statement of financial position						
a Assets						
1 Cash balances (both local and foreign)	4,057,366	4,719,625	4,544,876	4,057,366	4,719,625	4,544,876
2 Balances due from Central Bank of Kenya	15,649,022	11,634,615	8,510,643	15,649,022	11,634,615	8,510,643
3 Kenya Government and other securities held for dealing purposes	5,504,415	9,608,230	17,560,362	5,504,415	9,608,230	17,560,362
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-
a) Investment securities:	-	-	-	-	-	-
Held to maturity:	-	-	-	-	-	-
a. Kenya Government securities	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-
b) Available for sale:	44,019,539	58,376,465	66,904,029	44,019,539	58,476,028	67,003,592
a. Kenya Government securities	44,019,539	58,376,465	66,904,029	44,019,539	58,476,028	67,003,592
b. Other securities	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	-	1,300,000	4,000,000	-	1,300,000	4,000,000
7 Deposits and balances due from banking Institutions abroad	1,391,618	518,113	346,727	1,391,618	518,113	346,727
8 Tax recoverable	-	336,209	-	-	414,659	-
9 Loans and advances to customers(net)	168,701,793	168,397,417	165,541,052	168,701,793	168,397,417	165,541,052
10 Balances due from banking institutions in the group	5,224,124	3,464,630	7,665,218	5,224,124	3,464,630	7,665,218
11 Investment in associates	-	-	-	-	-	-
12 Investment in subsidiary companies	262,512	362,761	362,761	-	-	-
13 Investment in joint ventures	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-
15 Property and equipment	3,164,236	2,744,065	2,654,350	3,164,236	2,744,065	2,654,350
16 Prepaid Operating rental leases	55,329	46,394	46,395	55,329	46,394	46,395
17 Intangible assets	1,433,813	1,130,854	1,029,330	1,458,813	1,155,854	1,054,330
18 Deferred tax	628,658	684,067	1,532,076	634,570	696,948	1,544,957
19 Retirement Benefit asset	89,425	-	-	89,425	-	-
20 Other assets	10,247,603	8,358,721	10,595,269	10,838,447	8,000,799	10,219,041
21 Total asset	**260,429,453**	**271,682,166**	**291,293,088**	**260,788,697**	**271,177,377**	**290,691,543**
b Liabilities						
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-
23 Customers' deposits	181,803,911	186,245,380	193,579,258	181,535,911	185,977,380	193,286,258
24 Deposits and balances due to banking institutions (local)	-	2,061,578	4,703,106	-	2,061,578	4,703,106
25 Deposits and balances due to banking institutions (foreign)	1,667,191	997,877	611,121	1,667,191	997,877	611,121
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	-	-	-	-	-	-
28 Balances due to banking institutions in the group	22,182,392	28,831,238	38,103,204	22,182,392	28,831,238	38,103,204
29 Tax payable	967,216	-	608,904	1,117,515	-	570,392
30 Dividends payable	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-
32 Retirement benefit liability	-	3,855	10,150	-	3,855	10,150
33 Other liabilities	10,156,646	9,983,070	10,069,385	10,238,651	9,206,313	9,162,714
34 Total liabilities	**216,777,356**	**228,122,998**	**247,685,128**	**216,741,660**	**227,078,241**	**246,446,945**
c Shareholders' funds						
35 Paid up / assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium / (discount)	-	-	-	-	-	-
37 Revaluation reserves	(150,183)	250,791	265,086	(150,183)	250,485	264,780
38 Retained earnings / (accumulated losses)	36,555,622	36,051,918	36,105,958	36,950,562	36,592,192	36,742,902
39 Statutory loan loss reserve	-	-	-	-	-	-
40 Other reserves	185,661	195,462	175,919	185,661	195,462	175,919
41 Proposed dividend	4,345,229	4,345,229	4,345,229	4,345,229	4,345,229	4,345,229
42 Capital grants	-	-	-	-	-	-
43 Total shareholders' funds	**43,652,097**	**43,559,168**	**43,607,960**	**44,047,037**	**44,099,136**	**44,244,598**
44 Total liabilities and total shareholders funds	**260,429,453**	**271,682,166**	**291,293,088**	**260,788,697**	**271,177,377**	**290,691,543**
II Statement of comprehensive income						
1 Interest income						
1.1 Loans and advances to customers	5,085,563	21,259,156	5,224,837	5,085,563	21,259,156	5,224,837
1.2 Government securities	1,289,394	5,770,087	1,669,058	1,289,394	5,775,128	1,671,807
1.3 Deposits and placements with banking institutions	19,949	117,146	18,175	19,949	117,146	18,175
1.4 Other interest income	7,309	19,784	7,845	7,309	19,784	7,845
Total interest income	**6,402,215**	**27,166,173**	**6,919,915**	**6,402,215**	**27,171,214**	**6,922,664**
2 Interest expenses						
2.1 Customer deposits	1,161,877	4,834,902	1,273,813	1,161,877	4,834,902	1,273,813
2.2 Deposits and placements with banking institutions	205,486	556,064	191,646	205,486	534,890	186,000
2.3 Other interest expenses	-	-	-	-	-	-
Total interest expenses	**1,367,363**	**5,390,966**	**1,465,459**	**1,367,363**	**5,369,792**	**1,459,813**
3 Net interest income	**5,034,852**	**21,775,207**	**5,454,456**	**5,034,852**	**21,801,422**	**5,462,851**
4 Non - interest income						
4.1 Fees and commissions income on loans & Advances	163,704	635,895	172,497	163,704	635,895	172,497
4.2 Other fees and commissions	1,120,414	4,186,273	1,027,147	1,294,413	4,636,524	1,188,482
4.3 Foreign exchange trading income	805,170	2,863,594	759,611	805,170	2,863,594	759,611
4.4 Dividend income	-	-	-	-	-	-
4.5 Other income	106,981	321,117	129,496	106,981	321,116	129,497
4.6 Total non-interest income	**2,196,269**	**8,006,879**	**2,088,751**	**2,370,268**	**8,457,129**	**2,250,087**
5 Total operating income	**7,231,121**	**29,782,086**	**7,543,207**	**7,405,120**	**30,258,551**	**7,712,938**
6 Operating expenses						
6.1 Loan loss provision	774,707	3,115,113	575,482	774,707	3,115,113	575,482
6.2 Staff costs	2,435,599	10,011,544	2,727,470	2,460,528	10,113,604	2,754,664
6.3 Directors emoluments	32,196	141,175	36,243	32,196	141,175	36,243
6.4 Rental charge	300,427	1,335,579	277,693	303,285	1,338,142	279,066
6.5 Depreciation on property and equipment	191,825	766,918	210,727	191,825	766,918	210,727
6.6 Amortisation charges	122,413	465,018	105,132	122,413	465,018	105,132
6.7 Other operating expenses	998,960	3,940,875	1,034,464	1,000,304	3,957,602	1,039,030
7 Total operating expenses	**4,856,127**	**19,776,222**	**4,967,211**	**4,885,258**	**19,897,572**	**5,000,344**
Profit before tax and exceptional items	**2,374,994**	**10,005,864**	**2,575,996**	**2,519,862**	**10,360,979**	**2,712,594**
8 Exceptional items	-	-	-	-	-	-
9 Profit after exceptional items	2,374,994	10,005,864	2,575,996	2,519,862	10,360,979	2,712,594
10 Current tax	(765,600)	(3,526,653)	(937,249)	(810,715)	(3,643,519)	(985,051)
11 Deferred tax	38,765	200,366	146,389	40,420	208,859	154,882
12 Profit after tax and exceptional items	**1,648,159**	**6,679,577**	**1,785,136**	**1,749,567**	**6,926,319**	**1,882,425**
13 Other comprehensive income						
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	2,820	575,641	20,422	2,820	575,204	19,984
13.3 Revaluation surplus on Property,plant and equipment	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(846)	(172,692)	(6,127)	(846)	(172,561)	(5,995)
14 Other comprehensive income for the year net of tax	1,974	402,949	14,295	1,974	402,643	13,989
15 Total comprehensive income for the year	**1,650,133**	**7,082,526**	**1,799,431**	**1,751,541**	**7,328,962**	**1,896,414**
Earnings per Share (Shs)	0.30	1.23	0.33	0.32	1.28	0.35
Dividends per share (Shs)	-	1.00	-	-	1.00	-

	Bank		
	March 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited
III Other disclosures			
1) Non-performing loans and advances			
a) Gross non-performing loans and advances	11,713,284	12,614,723	12,629,491
b) Less: Interest in suspense	2,949,784	3,256,066	3,332,688
c) Total non performing loans and advances	8,763,500	9,358,657	9,296,803
d) less: loan loss provisions	5,377,473	5,570,676	5,717,974
e) Net non performing loans(c-d)	3,386,027	3,787,981	3,578,829
f) Discounted value of securities	1,684,882	1,656,019	1,700,954
g) Net NPLs (Excess) / Exposure (e-f)	**1,701,145**	**2,131,962**	**1,877,875**
2) Insider loans and advances			
a) Directors ,shareholders and associates	46,346	44,114	42,866
b) Employees	12,839,489	11,674,004	11,233,471
c) Total insider loans and advances	**12,885,835**	**11,718,118**	**11,276,337**
3) Off Balance sheet items			
a) Letters of credit ,guarantees, acceptances	28,765,378	24,081,886	24,039,028
b) Forwards, swaps and options	38,958,537	44,527,135	49,410,773
c) Other contingent liabilities	-	-	-
Total Contingent liabilities	**67,723,915**	**68,609,021**	**73,449,801**
4) Capital Strength			
a) Core capital	38,447,311	38,767,686	37,929,158
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000
c) Excess / (Deficiency)	37,447,311	37,767,686	36,929,158
d) Supplementary capital	5,154,788	5,166,021	5,038,949
e) Total capital	**43,602,099**	**43,933,707**	**42,968,107**
f) Total risk weighted assets	**244,638,261**	**243,728,272**	**250,482,913**
g) Core capital / total deposit liabilities	21.4%	20.8%	19.6%
h) Minimum statutory ratio	8.0%	8.0%	8.0%
i) Excess / (Deficiency)	13.4%	12.8%	11.6%
j) Core capital / total risk weighted assets	15.7%	15.9%	15.1%
k) Minimum statutory ratio	10.5%	10.5%	10.5%
l) Excess / (Deficiency)	5.2%	5.4%	4.6%
m) Total capital / total risk weighted assets	17.8%	18.0%	17.2%
n) Minimum statutory ratio	14.5%	14.5%	14.5%
o) Excess / (Deficiency)	3.3%	3.5%	2.7%
p) Adjusted Core Capital/Total Deposit Liabilities	-	-	21.0%
q) Adjusted Core Capital/Total Risk Weighted Assets	-	-	16.2%
r) Adjusted Total Capital/Total Risk Weighted Assets	-	-	18.2%
5 Liquidity			
a) Liquidity ratio	29.6%	33.4%	36.2%
b) Minimum statutory ratio	20.0%	20.0%	20.0%
c) Excess / (Deficiency)	9.6%	13.4%	16.2%

Notes

The adjusted capital ratios includes the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution and can be accessed on the institution's website www.barclays.co.ke. They may also be accessed at the institutions head office at The Westend Building, Waiyaki Way.

They were approved by the Board of Directors on 29 May 2018 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director